Tech Mahindra Ltd (TECHM)

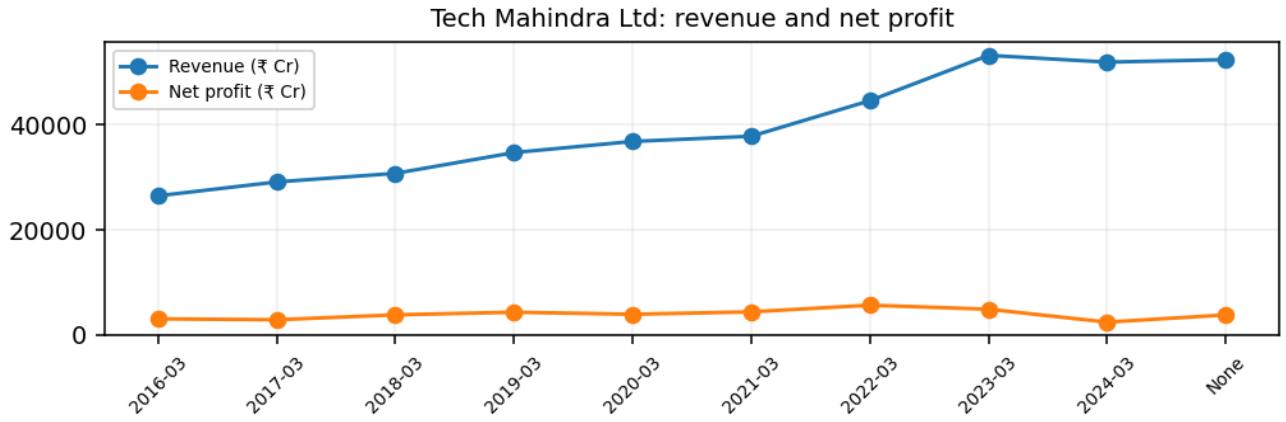
Sector: Information Technology | Financial year: 2024-03 | Market snapshot: 2024-03

Investment profile — data-led summary

Tech Mahindra Ltd provides comprehensive range of IT services, including IT enabled service, application development and

Metric	Latest value	Metric	Latest value
ROE	8.99%	ROCE	9.21%
Debt/equity	0.10	Free cash flow (■ Cr)	5,058.00
P/E	57.40	P/B	7.43
Market cap (■ Cr)	3,021,095.64	Dividend yield	0.64%

Revenue and earnings history (up to 10 supplied annual observations)



All figures reflect the supplied source dataset. This report is informational and is not a recommendation to buy or sell securities.

Tech Mahindra Ltd — Financial Quality & Risk Review

Strength indicators

Rule	Evidence	Confidence
Positive free cash flow	The latest annual period reports positive free cash flow.	95%
FCF conversion >= 70%	Cash conversion from operating profit is comparatively strong.	95%
Interest coverage >= 3x	Reported interest coverage indicates capacity to meet finance costs.	84%
Positive operating margin	The latest annual period reports a positive operating margin.	79%

Risk indicators

Rule	Evidence	Confidence
Negative PAT CAGR 5Y	Five-year profit CAGR is negative in the available annual history.	81%
ROCE sector percentile below 25	ROCE ranks in the bottom quartile of the supplied sector comparison.	72%

Selected annual financial history

Year	Sales (■ Cr)	Net profit (■ Cr)	EPS	OPM %
2019-03	34742	4289	44.00	18.00
2020-03	36868	3897	42.00	15.00
2021-03	37855	4353	46.00	18.00
2022-03	44646	5630	57.00	18.00
2023-03	53290	4857	50.00	15.00
2024-03	51996	2397	24.00	9.00
None	52476	3775	38.00	12.00